

Thinking, Fast and Slow

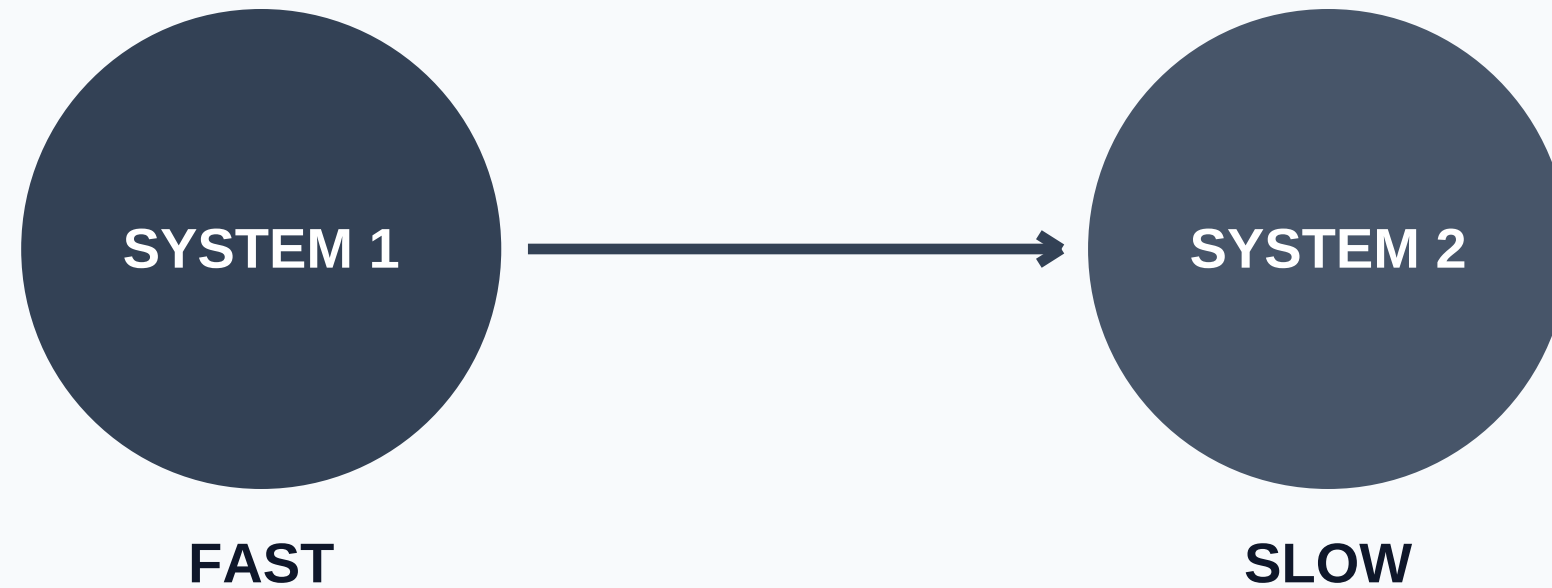
Daniel Kahneman

8-slide visual summary

Core concepts • mental models • easy-to-remember diagrams •
practical takeaways

Two Modes

Fast intuition and slow deliberate reasoning work differently.



- System 1 is automatic.
- System 2 is effortful.
- Know when to switch.

Heuristics

Mental shortcuts save effort but create predictable biases.



Availability



Anchoring



Representativeness

- Availability.
- Anchoring.
- Representativeness.
- Use deliberate checks when stakes are high.

Loss Aversion

Losses can feel more powerful than equivalent gains.

GAIN +100

LOSS -100

Equivalent losses can feel more painful than gains.

- This affects investing and negotiation.
- Fear of loss can distort choices.
- Name the loss explicitly.

Overconfidence

Confidence is not accuracy.

CONFIDENCE

$\neq$

ACCURACY

Use base rates + evidence + explicit uncertainty.

- Stories can feel convincing.
- Use base rates.
- State uncertainty.
- Seek disconfirming evidence.

Slow Down Triggers

Use deliberate reasoning for consequential decisions.



High stakes



Complex



Statistical



Irreversible

- High financial stakes.
- Complex problems.
- Statistics and probability.
- Irreversible choices.

Decision Checklist

A short checklist can interrupt predictable errors.

✓ Base rate?

✓ What changes my mind?

✓ Anchored?

✓ Missing evidence?

✓ Confidence?

- What is the base rate?
- What would change my mind?
- Am I anchored?
- What evidence is missing?

Memory Map

Fast intuition → Bias risk → Slow check → Better judgment



- Use intuition for speed.
- Use deliberate checks for important decisions.